LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

WHAT IS DEFERRED PAYMENT GUARANTEE FUNDING ?

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Module 1: Theoretical Foundations and Product Philosophy

1.1 Background and the Liquidity Paradox in Capital Expansion

In the Indian corporate landscape, mid-market enterprises and MSMEs constantly grapple with a structural liquidity paradox. Capital expenditures—such as acquiring high-value machinery, industrial plants, infrastructure equipment, or advanced processing tools—require massive upfront cash outlays. However, these assets only generate incremental operating revenues over an extended multi-year economic life. Siphoning active working capital from short-term operations to fund long-term fixed assets causes severe asset-liability mismatches (ALM), choking cash flow velocity and often leading to operational distress.

Traditional funding pathways, such as corporate term loans, require extensive fixed asset collateral, high debt-service covenants, and long processing timelines. Deferred Payment Guarantee (DPG) Funding solves this exact structural bottleneck. DPG is a non-fund-based credit facility under which a commercial bank acts as an institutional guarantor, issuing an irrevocable undertaking to pay a supplier (seller) the purchase cost of capital goods, along with interest, in predefined installments over an extended usance period (typically 3 to 7 years) under a deferred payment contract.

By substituting direct bank funding with an institutional non-fund-based payment guarantee, DPG enables the buyer (the bank's corporate client) to secure immediate possession, installation, and commercial exploitation of the capital assets on Day 1, while paying the supplier over time from the cash flows generated by the asset itself. This process shifts the credit framework from unsecured commercial risk to structured interbank security.

1.2 The Tripartite Commercial Nexus and Product Flow

At its core, a Deferred Payment Guarantee is not a simple bilateral credit agreement; it is a tripartite commercial nexus comprising:

1. The Applicant (Buyer/Importer): The corporate entity purchasing the capital machinery, who initiates the transaction, requests the bank to issue the DPG, and assumes the primary obligation to fund the installment escrow account prior to each payment date.
2. The Beneficiary (Seller/Supplier): The domestic or international equipment manufacturer who sells the machinery on deferred payment terms, receives the bank-backed guarantee as security, and draws down the scheduled payments.
3. The Guarantor Bank (Issuing Bank): The regulated financial institution (Authorized Dealer Bank) that assesses the Applicant's credit risk, structures the security matrix,

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and issues the irrevocable guarantee, legally binding itself to pay the Beneficiary in the event of default by the Applicant.

This structured payment flow creates a highly secure, non-recourse environment for the machinery supplier, who can discount these guaranteed deferred receivables with their own bankers to secure immediate, low-cost liquidity, while the buyer preserves active working capital lines.

1.3 The Deeming Legal Fiction under Indian Direct and Indirect Tax Laws

To fully grasp how DPG operates in India, one must examine the legal and tax framework governing capital asset purchases. Under Section 10(1)(b) of the Integrated Goods and Services Tax (IGST) Act, 2017, when capital goods are delivered by a supplier to a recipient on the instruction of a third party, a 'deeming fiction' is created. The transaction is treated as a supply from the vendor to the intermediary, and subsequently from the intermediary to the final user.

In a structured DPG transaction, the physical cargo moves directly from the manufacturer to the buyer's factory floor. However, for legal and tax purposes, the billing chain, shipping document transfers, and security creation must align precisely to ensure that ownership or senior hypothecation rights vest with the Guarantor Bank. Under Section 32 of the Income Tax Act, 1961, the buyer is entitled to claim depreciation on the capital asset from the date it is 'put to use,' regardless of whether the physical invoice is paid in full or structured under a deferred DPG payment plan. This provision provides significant tax shields that improve the buyer's debt service capacity from Day 1.

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Module 2: Structural Comparative Taxonomy

2.1 DPG vs. Standard Term Loans, Letters of Credit, and Bank Guarantees

To avoid misclassifying this specialized product, trainees must understand how DPG compares to other credit instruments. A standard term loan is a fund-based facility where the bank immediately pays out the capital, which appears as a cash liability on the borrower's balance sheet. A standard Commercial Letter of Credit (LC) is a short-term trade instrument (typically 90 to 180 days) used for raw material procurement, whereas a DPG is a long-term (3 to 7 years) capital expenditure guarantee.

A standard Financial Bank Guarantee (BG) is a backup instrument meant to be invoked only upon a rare breach of contract, whereas a DPG is a payment instrument with a structured, active payment schedule. The table below outlines these key distinctions across several structural parameters.

Structural Parameter	Deferred Payment Guarantee (DPG)	Corporate Term Loan	Commercial Letter of Credit (LC)	Financial Bank Guarantee (BG)
Primary Credit Nature	Non-fund-based (substitutes direct payment with a credit commitment)	Fund-based (direct cash payout)	Short-term non-fund-based	Backup non-fund-based (rarely invoked)
Primary Funding Source	Sourced from the buyer's operating cash flows	Direct bank capital disbursal	Sourced from working capital	Invoked only upon breach of contract
Underlying Assets	Primary charge over the capital machinery being purchased	Fixed asset collateral or mortgage	Hypothecation of raw materials	General corporate asset pool

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Indicative Tenures	Long-term (typically 3 to 7 years)	Medium to long-term (3 to 10 years)	Short-term (typically 90 to 180 days)	Short to medium-term (1 to 3 years)
Interest / Fee Structure	Upfront commission + usance interest on the outstanding balance	Daily reducing balance interest on the loan amount	Fixed discounting fee and LC commission	Annualized guarantee commission only
Balance Sheet Treatment	Disclosed as a contingent liability (moves to active debt upon default)	Reflected immediately as a fund-based liability	Contingent liability (off-balance sheet)	Contingent liability (off-balance sheet)

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Module 3: The End-to-End Operational Lifecycle and SWIFT Flow

3.1 Phase-by-Phase Transaction Flow

A standard DPG transaction progresses through a highly structured 5-phase operational lifecycle:

1. Commercial Contract and Technical Feasibility (Phase 1): The buyer and seller sign a commercial purchase agreement specifying the technical machinery, a deferred payment schedule (e.g., 10 equal semi-annual installments over 5 years), and a requirement for an irrevocable DPG from an approved AD Category-1 bank.
2. Credit Appraisal and Limit Sanction (Phase 2): The buyer submits the project report, cash flow projections, and machinery invoices to their bank. The bank conducts a technical-economic viability study (TEVS), assesses the buyer's debt service capabilities, and sanctions a non-fund-based DPG limit.
3. Security Creation and Document Execution (Phase 3): The buyer executes the master guarantee agreement, hypothecates the machinery being purchased, registers a CERSAI charge, provides any required collateral, and pays the margin money (typically 10% to 20% in the form of a lien-marked Fixed Deposit).
4. Guarantee Issuance via SWIFT MT760 (Phase 4): The bank issues the physical and digital DPG, transmitting it to the seller's bank via secure SWIFT MT760 messaging, which locks in the bank's irrevocable payment commitment.
5. Asset Delivery, Installment Sweeps, and Liquidation (Phase 5): The seller dispatches the machinery. On each scheduled installment date (e.g., every 6 months), the buyer deposits the principal and interest into a structured escrow account. The bank sweeps the funds and remits them to the seller via SWIFT MT103. Once all installments are paid, the bank cancels the guarantee and releases the hypothecated assets.

3.2 SWIFT Messaging Formats and Interbank Settlement Lifecycle

The operational safety of a DPG relies on secure interbank SWIFT messaging. Trainees must master the exact electronic messaging sequence:

- SWIFT MT760 (Irrevocable Guarantee Issuance): This message is the core of the transaction. It legally binds the Issuing Bank to the terms of the DPG. Any amendments, such as adjustments to payment dates or interest benchmarks, require a corresponding MT767 amendment message.
- SWIFT MT768 (Acknowledgement of Guarantee): Sent by the beneficiary's bank to confirm receipt and verify the cryptographic signatures of the MT760 message.
- SWIFT MT103 / MT202 (Interbank Remittance): Used on each scheduled installment

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date. The Issuing Bank sweeps the buyer's escrow current account and transmits the funds via MT103 (Single Customer Credit Transfer) to the beneficiary's bank, with an accompanying MT202 interbank settlement instruction to clear the transaction.

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Module 4: Transactional Credit Underwriting & Risk Metrics

4.1 Underwriting Methodology for Non-Fund Capital Commitments

Unlike working capital facilities that focus on short-term trade cycles, underwriting a long-term DPG requires a rigorous projection of the buyer's long-term cash flows and capital structure. Because the bank's commitment is non-fund on Day 1 but can crystallize into an active fund-based debt if the buyer defaults on an installment, banks evaluate the buyer as if they were underwriting a term loan. This evaluation includes:

1. Financial Strength of the Promoter: Promoter's personal CIBIL score must exceed 700, and the enterprise must have a strong CIBIL MSME Rank (CMR 1-4) with no historic defaults.
2. Technical Viability of the Capital Asset: The bank analyzes whether the machinery will increase production efficiency, reduce operating costs, or generate new revenues sufficient to cover the installment payments.
3. Liquidity and Solvency Metrics: Under the Tandon Committee's Second Method of Lending, the buyer must maintain a minimum Current Ratio of 1.33:1, and a Short-Term Debt Service Coverage Ratio (DSCR) exceeding 1.25x across the entire usance period.

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Module 5: Legal Framework, Security Creation, and Documentation

5.1 Statutory Foundations under the Indian Contract and Transfer of Property Acts

A robust understanding of the legal framework is essential for managing credit risk. The primary statutory pillars of a DPG transaction include:

1. Section 126 of the Indian Contract Act, 1872: Defines the contract of guarantee as a tripartite agreement to perform the promise or discharge the liability of a third person in case of default. Section 128 establishes that the liability of the surety (Guarantor Bank) is co-extensive with that of the principal debtor (Buyer) unless otherwise provided by the contract.
2. Section 130 of the Transfer of Property Act, 1882: Governs the absolute transfer of 'actionable claims' (future receivables). In DPG structures, if the buyer defaults, the bank can enforce a statutory assignment of the buyer's book debts and future revenues, routing them directly to the bank's recovery pool.
3. Section 172 of the Indian Contract Act, 1872: Governs the pledge of goods, where physical or constructive possession of the machinery is delivered to the bank as security for the guarantee. A Trust Receipt (TR) is signed by the buyer, allowing them to install and use the machinery on their shop floor while holding the assets as a fiduciary trustee for the bank.
4. Mandatory CERSAI Registration: Under the SARFAESI Act, 2002, any security interest created over tangible assets must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within 30 days of charge creation. This registration establishes public senior lien rights and prevents duplicate asset pledging.

5.2 Essential Legal Agreements and Covenants

A standard DPG security packet requires the execution of several legally binding documents:

- Counter-Guarantee and Master Indemnity Agreement: The buyer contractually agrees to indemnify the bank for any payments made under the DPG. This agreement allows the bank to debit the buyer's accounts and liquidate their assets without needing a court order.
- Deed of Hypothecation: Creates a first charge over the capital machinery purchased under the DPG, ensuring the bank can repossess the asset in a default scenario.
- Escrow and Trust Agreement: A tripartite agreement between the buyer, the bank, and

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the corporate buyer's key off-takers. It mandates that a portion of the buyer's operating revenues must be routed directly into a designated Escrow Account to fund upcoming DPG installments.

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Module 6: Sectoral Sizing, Target Industries, and Global Trade

6.1 Target Industries and Market Segments

Deferred Payment Guarantees are highly effective in capital-intensive sectors where machinery costs represent a significant portion of total project capital. Key industries include:

- Infrastructure and Construction: Acquisition of heavy earthmovers, tunnel boring machines, and specialized concrete batching plants.
- Textiles and Garments: Importing high-speed automated weaving looms and spinning systems from Europe or Japan.
- Printing and Packaging: Purchasing multi-color offset printing presses and automated corrugation lines.
- Agri-Commodity Processing: Setting up solvent extraction plants, sugar refinery turbines, and large-scale grain mill silos.

According to SIDBI and CIBIL commercial credit data, MSMEs and mid-market enterprises in these sectors utilize structured trade credit instruments like DPGs to preserve liquidity. Retail and Wholesale Traders represent a massive portion of the credit ecosystem, making up 44% of total active working capital borrowers in the ₹10 Lakh to ₹2 Crore segment, driving demand for structured finance products.

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Module 7: Commercial Pricing Mechanics and Financial Models

7.1 Pricing Elements and Fee Structures

The commercial pricing of a DPG comprises three primary components:

1. Guarantee Commission: An upfront or annualized fee calculated as a percentage (typically 1.50% to 2.50% p.a.) of the outstanding guaranteed principal. This commission reflects the bank's non-fund credit risk.
2. Usance Interest Rate: The interest rate applied to the deferred payment installments, negotiated between the buyer and seller. This rate is typically pegged to an approved external benchmark such as the State Bank of India's Marginal Cost of Funds Based Lending Rate (MCLR) or the Secured Overnight Financing Rate (SOFR) for cross-border transactions.
3. Processing and Assaying Fees: Charged on Day 1 to cover the cost of technical-economic appraisal and legal documentation. This fee is subject to an 18% Goods and Services Tax (GST) in India, which qualifies for a corporate Input Tax Credit (ITC).

The accounting of DPG transactions follows Ind AS 109, which requires non-fund liabilities to be measured at fair value on Day 1 and subsequently adjusted. Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for business expansion is fully tax-deductible. This deduction provides a valuable Interest Tax Shield that lowers the effective post-tax cost of borrowing for the company.

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Module 8: Regulatory Compliance, RBI Master Circulars, and IRACP Norms

8.1 RBI Master Circulars on Guarantees and Co-acceptances

The Reserve Bank of India (RBI) regulates the issuance of bank guarantees to maintain systemic stability. Key regulatory mandates include:

1. Maximum Maturity Capping: Banks are generally restricted from issuing financial guarantees with tenures exceeding 10 years, unless the guarantee is specifically tied to a long-term infrastructure project.
2. Single-AD Bank Restriction: To prevent duplicate credit issuance, all import-related DPGs and underlying foreign currency remittances must be routed through a single Authorized Dealer (AD) Category-1 bank.
3. IDPMS and EDPMS Tracking: All cross-border DPG transactions must be registered on the RBI's Import Data Processing and Monitoring System (IDPMS). The bank must reconcile all outward remittances against physical shipping documents, eliminating the requirement for a standard Customs Bill of Entry on Day 1.
4. RBI Digital Lending and LSP Guidelines: Under the RBI's Digital Lending Directions, any third-party Lending Service Provider (LSP) involvement is subject to a strict 5% cap on Default Loss Guarantee (DLG) arrangements to prevent excessive credit risk transfer.

8.2 IRACP Asset Classification and Default Crystallization Rules

Trainees must understand how defaults are managed under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines:

- Default Crystallization: If the buyer fails to fund the escrow account on a scheduled installment date, the Guarantor Bank must honor its commitment to the supplier. The bank pays the installment and immediately converts the non-fund liability into an active Rupee demand loan (Crystallized Trade Debt) at the bank's ruling TT Selling Rate plus a penal spread.
- NPA Classification and Asset Classification: The crystallized debt is classified under the Special Mention Account (SMA) framework: SMA-0 (1-30 days overdue), SMA-1 (31-60 days overdue), or SMA-2 (61-90 days overdue). If the debt remains unpaid past 90 days, it is classified as a Non-Performing Asset (NPA). Additionally, if the borrower's overall credit account is not formally renewed within 180 days of expiry, the entire credit line is classified as a technical default NPA.

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Module 9: Comprehensive Real-World Case Study

9.1 The Scenario of Mumbai Plastic Manufacturing Pvt. Ltd.

To illustrate these principles, we examine a real-world scenario involving Mumbai Plastic Manufacturing Pvt. Ltd. (MPMPL), an automotive component supplier with a corporate tax rate of 25.17%. MPMPL needs to acquire a high-precision plastic extrusion machine worth ₹2,00,00,000 (₹2 Crores) from a German manufacturer on a deferred payment schedule over 5 years. The supplier agrees to a deferred payment plan of 10 equal semi-annual installments of ₹20,00,000 plus interest @ 9.00% p.a. on the outstanding balance, backed by a DPG from the State Bank of India (SBI).

The SBI structures the transaction as follows:

- Margin Requirement: 20% margin provided as a lien-marked Fixed Deposit of ₹40,00,000 earning 6.50% p.a. interest.
- DPG Commission: 2.0% p.a. calculated on the outstanding guaranteed balance, payable annually.
- Upfront Processing Fee: 0.50% of the guarantee value (₹1,00,000) plus 18% GST (₹18,000).
- Outward Remittances: Reconciled via the IDPMS portal, with interest tax shields claimed under Section 36(1)(iii) of the Income Tax Act.

The table below details the complete 10-installment payment schedule, interest costs, guarantee commissions, tax shields, and net cash flows over the 5-year tenure of the transaction.

Year	Half-Year Installment	Outstanding Guarantee Balance (₹)	Principal Installment (₹)	Interest Cost @ 9.0% (₹)	Guarantee Commission @ 2.0% (₹)	SBI Escrow Sweep Requirement (₹)	Tax Shield @ 25.17% (₹)	Net Post-Tax Cash Flow (₹)
Y1-H1	Installment 1	2,00,00,000	20,00,000	9,00,000	4,00,000	33,00,000	3,27,210	29,72,790
Y1-H2	Installment 2	1,80,00,000	20,00,000	8,10,000	0	28,10,000	2,03,877	26,06,123

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Y2-H1	Installment 3	1,60,00,000	20,00,000	7,20,000	3,20,000	30,40,000	2,61,768	27,78,232
Y2-H2	Installment 4	1,40,00,000	20,00,000	6,30,000	0	26,30,000	1,58,571	24,71,429
Y3-H1	Installment 5	1,20,00,000	20,00,000	5,40,000	2,40,000	27,80,000	1,96,326	25,83,674
Y3-H2	Installment 6	1,00,00,000	20,00,000	4,50,000	0	24,50,000	1,13,265	23,36,735
Y4-H1	Installment 7	80,00,000	20,00,000	3,60,000	1,60,000	25,20,000	1,30,884	23,89,116
Y4-H2	Installment 8	60,00,000	20,00,000	2,70,000	0	22,70,000	67,959	22,02,041
Y5-H1	Installment 9	40,00,000	20,00,000	1,80,000	80,000	22,60,000	65,442	21,94,558
Y5-H2	Installment 10	20,00,000	20,00,000	90,000	0	20,90,000	22,653	20,67,347
Total	**-**	**-**	**2,00,00,000**	**49,50,000**	**12,00,000**	**2,61,50,000**	**15,47,955**	**2,46,02,045**

Default Scenario & Risk Crystallization Analysis:

Consider a scenario on Day 365 where a severe logistical bottleneck halts MPMPL's production, causing their current account to show a zero balance on the payment date of Installment 2 (Installment Value: ₹20,00,000 principal + ₹8,10,000 interest = ₹28,10,000). Under the terms of the irrevocable SBLC/DPG, SBI is legally bound to pay the ₹28,10,000 to the German beneficiary on the due date. To honor this commitment, SBI executes a Default Crystallization, converting the ₹28,10,000 non-fund-based guarantee obligation into an active Rupee demand loan (Crystallized Trade Debt) at the bank's ruling TT Selling Rate plus a penal spread of 2.0% p.a.

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SBI immediately initiates the default tracking protocol: Day 1: Classified as SMA-0, interest accrues daily on the reducing balance at a penal rate of 11.50% p.a. Day 31: If the account remains unpaid, it is downgraded to SMA-1, and SBI issues a warning to enforce security. Day 61: Downgraded to SMA-2, and the bank initiates pre-action statutory notices. Day 91: Downgraded to a Substandard Non-Performing Asset (NPA). Once the NPA trigger occurs, SBI exercises its rights under the tripartite agreement, enforcing a senior lien to seize and repossess the extrusion machinery, and routes all future receivables from MPMPL's automotive buyers directly to the bank's recovery pool.

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Module 10: 10-Question Professional Certification Examination

10.1 Practice Examination and Scenario-Based Questions

This section contains 10 scenario-based questions designed to test the trainee's understanding of Deferred Payment Guarantee Funding, regulatory compliance, and transaction structures. Detailed answers and rationales are provided below.

Module 10.1: Question 1 (Tripartite Obligation & Guarantor Liability)

Under Section 128 of the Indian Contract Act, 1872, what is the precise nature of the Guarantor Bank's liability in a structured Deferred Payment Guarantee (DPG) transaction?

A) The bank's liability is secondary and conditional on the buyer first exhausting all legal assets.

B) The bank's liability is co-extensive with that of the principal debtor, meaning the supplier can demand payment directly from the bank upon default without suing the buyer first.

C) The bank's liability is capped at the initial margin money deposited by the buyer on Day 1.

D) The bank acts as a neutral mediator with zero direct commercial payment liability.

★ Correct Option: B.

★ Rationale & Analysis: Under Section 128 of the Indian Contract Act, 1872, the liability of the surety (Guarantor Bank) is co-extensive with that of the principal debtor (Buyer). Once a default occurs on a scheduled installment, the beneficiary has an immediate, legally binding right to demand full payment directly from the Guarantor Bank, without being required to exhaust legal remedies against the buyer first. This co-extensive undertaking is what makes the DPG an effective credit mitigation tool for capital equipment manufacturers.

Module 10.2: Question 2 (Underwriting & Debt Service Metrics)

During the credit appraisal of a 5-year Deferred Payment Guarantee (DPG) for a textile weaving mill, which financial ratio serves as the primary benchmark to assess the applicant's ability to honor scheduled installment payments?

A) The Asset Turnover Ratio, which must exceed 3.0x to justify capital expansion.

B) The Current Ratio under the Tandon First Method, requiring a 1.15:1 baseline.

C) The Debt Service Coverage Ratio (Short-Term DSCR), which must exceed 1.25x

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across the entire usance period.
D) The Debt-to-Equity Ratio, which must be maintained at a strict 1:1 ratio.

★ Correct Option: C.
★ Rationale & Analysis: Because a DPG is a structured payment guarantee with a series of scheduled semi-annual or annual installments (comprising both principal and interest), the underwriter must verify that the applicant's projected operating cash flows are sufficient to meet these upcoming obligations. A DSCR of >1.25x (Cash Flow available / Debt Service installment) ensures a 25% safety margin, reducing the risk of a default that would require the bank to crystallize the debt.

Module 10.3: Question 3 (CERSAI Registration Timelines)

Under the SARFAESI Act, 2002, and the Factoring Regulation Act, what is the mandatory timeline for registering a hypothecation charge over capital machinery purchased under a DPG with CERSAI?
A) Register within 45 days from the date of machinery arrival at the buyer's port of entry.
B) Register within 30 days from the date of creation of the security interest.
C) Register on the exact date of issuing the SWIFT MT760 message.
D) Charges must be registered only if the buyer defaults and the account is downgraded to SMA-2.

★ Correct Option: B.
★ Rationale & Analysis: To establish senior lien rights, protect the bank's position, and prevent duplicate pledging of the same machinery, all security interests created over tangible assets must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within 30 days of charge creation under the SARFAESI Act, 2002. Failure to register within this window compromises the bank's ability to enforce its security interest in a default scenario.

Module 10.4: Question 4 (SWIFT Messaging Formats)

Which SWIFT messaging format is used by an Authorized Dealer (AD) Category-1 bank to issue and transmit an irrevocable Deferred Payment Guarantee to the supplier's bank?
A) SWIFT MT103
B) SWIFT MT799

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C) SWIFT MT760
D) SWIFT MT700

★ Correct Option: C.
★ Rationale & Analysis: SWIFT MT760 is the standard, secure interbank format used to issue and transmit demand guarantees, standby letters of credit, and deferred payment guarantees. An MT700 is used for standard documentary letters of credit, an MT103 is used for single customer credit transfers, and an MT799 is a free-format information message used for pre-advice or general communication.

Module 10.5: Question 5 (Interest Tax Shield and Cost of Capital)

Under which section of the Income Tax Act, 1961, can an Indian buyer claim a tax deduction for interest payments made under a DPG structured trade credit, and how does this affect the cost of capital?
A) Section 80IA; it provides an exemption for infrastructure profits but does not affect the borrowing rate.
B) Section 36(1)(iii); it allows interest expenses to be deducted from corporate taxable income, creating a tax shield that lowers the effective post-tax cost of borrowing.
C) Section 43B; it restricts interest deductions to unsecured bank loans only.
D) Interest payments are classified as non-deductible capital expenditures under Section 37.

★ Correct Option: B.
★ Rationale & Analysis: Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for the acquisition of assets or business expansion is fully tax-deductible. This deduction creates a valuable Interest Tax Shield, lowering the effective annualized post-tax cost of borrowing (Post-tax Interest Rate = Pre-tax Interest Rate x [1 - Corporate Tax Rate]), which improves the buyer's net profit margins and debt service capacity.

Module 10.6: Question 6 (The RBI Letter of Undertaking Ban of 2018)

Following the systemic fraud at Punjab National Bank in 2018 involving Letters of Undertaking (LoUs), the RBI implemented a landmark policy change. How did this policy change affect structured trade credit products?
A) The RBI banned all long-term capital goods import guarantees, including DPGs.

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B) The RBI banned the issuance of Letters of Undertaking (LoUs) and Letters of Comfort (LoCs), shifting structured trade credit strictly into fully underwritten, CBS-integrated Letters of Credit and Bank Guarantees.
C) The RBI prohibited Authorized Dealer banks from executing any SWIFT MT760 transmissions.
D) All trade credit transactions were mandated to go through the TReDS digital exchanges.

★ Correct Option: B.
★ Rationale & Analysis: In March 2018, following the PNB fraud where unauthorized LoUs were transmitted via standalone SWIFT terminals without integration into the Core Banking System (CBS), the RBI banned the issuance of LoUs and LoCs for trade credits. This ban forced banks and corporate treasuries to shift trade credit transactions strictly into fully underwritten, CBS-integrated Letters of Credit (LCs) and structured Bank Guarantees (including DPGs), restoring transparency to the financial system.

Module 10.7: Question 7 (IRACP Classification Overdue Timelines)

Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, on which overdue day must a crystallized trade debt be classified as a Substandard Non-Performing Asset (NPA)?
A) Day 30
B) Day 60
C) Day 90
D) Day 180

★ Correct Option: C.
★ Rationale & Analysis: Under the RBI's harmonized IRACP guidelines, if a borrower fails to repay a crystallized trade debt, the account progresses through the Special Mention Account (SMA) stages: SMA-0 (1-30 days overdue), SMA-1 (31-60 days overdue), and SMA-2 (61-90 days overdue). On the 91st consecutive day of outstanding overdue status (past 90 days), the bank is contractually and regulatorily mandated to classify the account as a Substandard NPA, which triggers provisioning requirements.

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Module 10.8: Question 8 (Technical Defaults and Review Covenants)

In addition to standard installment defaults, under what technical condition will an active trade credit facility be classified as an NPA under RBI guidelines?

A) If the borrower's debt-to-equity ratio exceeds 3:1 on any quarterly audit date.

B) If the facility is not formally reviewed or renewed within 180 days of its scheduled expiry date.

C) If the borrower fails to submit their audited annual balance sheet within 45 days of the financial year close.

D) If the promoter's personal CIBIL score drops by more than 50 points.

★ Correct Option: B.

★ Rationale & Analysis: Under the RBI Master Directions on advances and credit facilities, banks must ensure that all active credit lines are formally reviewed and renewed at least once a year. If a facility is not formally reviewed or renewed within 180 days of its scheduled expiry date, the account is classified as a technical default NPA, even if the borrower is current on all interest and principal payments.

Module 10.9: Question 9 (GST Treatment of Service Fees)

Under Indian tax guidelines, how are the interest components and upfront processing fees treated for GST purposes during a structured DPG transaction?

A) Core interest and discounting components are exempt from GST, while processing fees, guarantee commissions, and legal fees attract a standard 18% GST (which qualifies for corporate Input Tax Credit).

B) A flat GST of 18% is applied to the entire loan principal, which is non-recoverable.

C) Core interest is taxed at 5% GST, while processing fees are completely GST-exempt.

D) Both interest and service fees are 100% exempt from GST under capital goods expansion incentives.

★ Correct Option: A.

★ Rationale & Analysis: Under CGST and IGST rules, interest paid on loans, advances, or deposits is exempt from GST. However, any service fees—including bank processing fees, guarantee commissions, legal and assaying fees—attract a standard 18% GST. This GST component is fully recoverable by the corporate borrower as Input Tax Credit (ITC), provided they have a valid tax invoice with their GSTIN registered.

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Module 10.10: Question 10 (RBI Digital Lending LSP DLG Caps)

Under the RBI's Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements between a regulated bank and a third-party Lending Service Provider (LSP)?

A) Capped at 2.0% of the aggregate credit portfolio balance.
B) Capped at 5.0% of the aggregate loan portfolio exposure.
C) Capped at 10.0% of the aggregate loan portfolio exposure.
D) DLG arrangements are completely prohibited for structured digital trade portfolios.

★ Correct Option: B.
★ Rationale & Analysis: To prevent unregulated, under-the-radar credit risk transfer to unregulated third-party fintechs and LSPs, the RBI's Digital Lending Guidelines mandate a strict 5.0% cap on Default Loss Guarantee (DLG) arrangements on the aggregate portfolio exposure. This cap ensures that the regulated financial institution retains the primary credit risk and maintains appropriate capital reserves.

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